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CVS Gets a Lift From Prescriptions

Drugstore chain's results also helped by a lower effective tax rate

By Cara Lombardo

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CVS said it is still on track to close its deal to buy health insurer Aetna in the second half of the year. MANDEL NGAN/AGENCE FRANCE-PRESSE/GETTY IMAGES

CVS Health Corp.'s **CVS 0.15%** ▲ revenue rose as it filled more prescriptions and its earnings benefited from a lower effective tax rate.

The drugstore chain said Wednesday its first-quarter revenue increased 2.6% from a year ago to \$45.7 billion, up from \$44.5 billion a year ago.

Revenue jumped 5.6% in its retail and long-term care segment as same-store prescription volumes rose 8.5%. In its pharmacy services segment, which includes its pharmacy-benefit management business, revenue increased 3.2%.

CVS said it is still on track to close its deal to buy health insurer Aetna Inc. in the second half of the year. Shareholders of both companies have approved the about \$69 billion deal, which the companies say will help control rising health-care costs.

Overall for the quarter, CVS reported a profit of \$998 million, or 98 cents a share. Including adjustments such as a net interest expense on financing associated with the proposed Aetna deal, the company earned \$1.48 a share. That is more than the adjusted earnings per share of \$1.41 analysts expected.

CVS shares, down 17.5% over the past year, rose 2% in premarket trading.

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